

Societal Problem: Housing in the Netherlands

September 2026

1 Recent newspaper article

An interesting view about the dutch housing crisis is brought up by an article found in the newspaper "Euronews", written by Eleanor Butler, presenting the crisis that was already in motion in 2024. She presents how the prices are increasing year-by-year, the government's way of solving and its potential outcome. She emphasizes that the options are split, suggesting that the market may move from rental to home-owner. Link to the article: <https://www.euronews.com/business/2024/12/13/squeezed-out-of-the-market-why-is-renting-so-difficult-in-the-netherlands>.

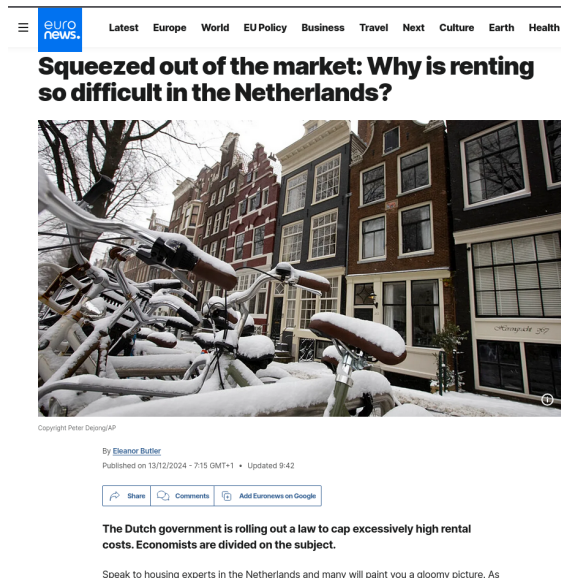


Figure 1: part 1/5 of the article

The Dutch government is rolling out a law to cap excessively high rental costs. Economists are divided on the subject.

Speak to housing experts in the Netherlands and many will paint you a gloomy picture. As in other EU countries, rental costs are skyrocketing, supply is constrained, and homeownership remains unattainable for many. According to the most recent data from the country's national statistics office, rents rose by an average of 5.4% year-on-year in July 2024. That's the largest average rent increase since 1993.

For those who can't afford private rentals, social housing is designed to provide a necessary fallback. The average wait time, however, amounted to seven years in 2023 - with those totals rising in cities with more demand. Research from the Dutch research firm ABF suggests that the Netherlands is short of around 401,000 dwellings this year.

A supply shortage is therefore at the heart of the Dutch housing dilemma, although experts also point to a complex knot of state policies. Balakrishnan Rajagopal, UN Special Rapporteur on the right to housing, offered a condemning conclusion last year. Following an 11-day visit at the government's invitation, he noted that the housing mess stemmed from "a series of poor policy choices".

He pointed out: "Housing is a human right. Housing is not a commodity or charity from government or anyone else. The Netherlands needs a paradigm shift towards recognising this."

Affordable rental act

In July of this year, the Affordable Rental Act came into force in the Netherlands. "This is a huge milestone", said Hugo de Jonge, housing minister at the time. Jonge argued that the law would support tenants currently dealing with unaffordable rents although, he stressed, renting out property would remain profitable.

The act works by capping rents on a points-based system. Housing is divided into three categories - low, middle, and high value - with more points given to more desirable properties. This can be based on criteria such as size, location and the availability of outdoor space. High-value rentals are unregulated, whereas properties in the two lower segments have price caps.

Figure 2: part 2/5 of the article

Split opinions on the cap

Those concerned about the effects of the new act often argue that renting as a landlord will become less profitable. If landlords then decide to withdraw their properties from the rental market, this could reduce supply - arguably making it more difficult for those looking to lease.

Klaas Knot, the president of the Dutch central bank, made headlines earlier this year when he criticised the Affordable Rental Act. "I don't want to make a political judgment about a law that was ultimately adopted by parliament. But I do look at the consequences," Knot told Dutch press agency ANP in Washington. Knot added that the government would be wise to reverse the act.

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Not all economists, however, support this conclusion. Richard Ronald, professor of housing at the University of Amsterdam, told Euronews that landlords selling up isn't reducing the supply. Instead, it is just moving homes to the owner-occupied sector. He added that solely increasing the supply of rental houses also doesn't seem to be moderating prices - meaning the Affordable Rental Act has its place.

"Since 2011, the stock of private rental housing in the Netherlands has actually increased significantly," he said. "The problem is that this has been driven by the liberalised sector."

Starting over a decade ago, a chunk of social housing was gradually sold to private landlords in the Netherlands - a move designed to attract investment. About a quarter of homes in the country's four big cities are now owned by investors. Although the supply of rentals increased, the free market over-inflated prices, stoked by increased demand. This was driven not only by migration but also by lifestyle choices, with more people living in smaller households.

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Figure 3: part 3/5 of the article

This created a problem for the "squeezed middle" cohort, said Arend Jonkman, planning researcher for the Netherlands Environmental Assessment Agency. For those earning too much to access social housing - but too little to afford free-market prices - stock became increasingly inaccessible. That was despite a boost in supply.

Supply and demand

Thierry Wever, senior advisor with research group RIGO, also told Euronews that outcomes aren't always predictable when it comes to housing in the Netherlands. "We've built quite a complicated and regulated system... so the normal economic relationship between supply and demand doesn't work in the same way."

In theory, if landlords feel obliged to sell because of rental caps, this could add to owner-occupied stock. This could therefore make buying a house more achievable as market demand shifts from renting to buying.

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Even so, several economists warn that the Affordable Rental Act cannot be expected to boost owner-occupied stock to such an extent. If house prices don't come down significantly, this means that the "squeezed middle" cohort will still be locked out of the market, holding insufficient resources to secure mortgages.

In terms of general housing supply catching up to demand, construction barriers can also complicate this process. Obstacles include the availability of labour, environmental regulations, and the cost of building materials.

One criticism of the Affordable Rental Act is that it could disincentivise the building of new rental housing if investors expect a reduced financial gain. There are, however, construction incentives built into the housing act - meaning that the rules apply differently to new properties.

Figure 4: part 4/5 of the article

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Not a simple fix

While the rental act is controversial, it is arguably too soon to choose a camp. "If you change the market, it requires some time to reset," said Marja Elsinga, professor of housing at the University of Delft. "I think that's the situation we are in now."

Darinka Czischke, an associate professor in housing - also at the University of Delft - agreed that it's too soon to make a judgement call. "It will be interesting to see how this new act interacts with other housing policy measures."

As well as rental caps, there are a whole host of other regulations that affect the Dutch housing market. For instance, generous mortgage tax relief has been blamed for giving an unnecessary boost to high-income households, inflating property prices. Several cities also ban property owners from renting out homes below a certain value. Intended to deter investors from "hijacking" affordable homes, such bans arguably disadvantage tenants by reducing rental stock.

"This is the part that gets lost in the sound bites," concluded Czischke, "when people say the rental act is intrinsically good or bad."

Figure 5: part 5/5 of the article

2 Challenges

2.1 a.)

This topic is specifically exciting since we (our group and most of the students) are deeply connected to it, we all need to rent a room/house/apartment in order to be able to attend lectures, and the dutch housing market, especially in Maastricht, is a tough place to find a home at a reasonable price.

2.2 b.)

As mentioned above, students are interested in this challenge but so are families or just divorced people. As the article suggests the market may be switching to a more owner-occupied rather than rental stock, short-term living is becoming either impossible or too expensive for a single salary. It is interesting to see that not only expats may suffer from these issues, but also nationals as the social housing await time keeps on rising.

3 Scientific Peer Reviewed Articles

3.1 Scientific Article 1

Citation:

Tarne, R., & Bezemer, D. (2025). *Roof or real estate? An agent-based model of housing affordability in The Netherlands. Structural Change and Economic Dynamics*, 72, 163–178. DOI: 10.1016/j.strueco.2024.11.014.

3.1.1 Article type and peer-review status

This is an original research article published in the academic journal *Structural Change and Economic Dynamics*. The article is peer-reviewed. The University of Groningen research portal mentions this publication as an “Article – Academic – peer-review.” The article was published in 2025.

3.1.2 What did the researchers investigate?

The researchers looked at the factors contributing to housing unaffordability in the Netherlands. They examined factors such as housing supply, house prices, interest rates, mortgage restrictions, and people’s ability to afford housing.

They used a housing market model based on survey data to simulate how changes in these factors can affected house prices and housing affordability.

An important point of the article is that the housing problem is not only caused by a lack of physical houses. Even when houses are available, people may not be able to afford them because of high prices, income levels, interest rates, and restrictions on borrowing.

3.1.3 Relevance to our societal challenge

This article is directly relevant to our societal challenge of the Dutch housing market. While our newspaper article describes the housing problem from a societal perspective, this scientific article helps explain the economic factors behind the problem.

It shows that housing unaffordability is caused not only by the shortage of houses, but also by factors such as income, interest rates, mortgage restrictions, and people’s ability to borrow money. This gives us a better understanding of the challenge and shows that solving the Dutch housing crisis may require multiple approaches rather than simply building more houses.

3.2 Scientific Article 2

Citation: Boelhouwer, P. (2019). The housing market in The Netherlands as a driver for social inequalities: proposals for reform. *International Journal of Housing Policy*, 20, 447–456. <https://doi.org/10.1080/19491247.2019.1663056>

3.2.1 Article type

Because this article focuses on policy analysis, its critique of the current system, and its theoretical approach to offering solutions rather than presenting new data or experiments, I would classify it as a policy review or opinion/perspective paper.

3.2.2 What did the researcher investigate?

P. Boelhouwer investigated the underlying structures of the housing market to point out key reasons why major inequalities exist, such as the "middle-income squeeze" and "increasing spatial segregation." He also looks into reform ideas and how different policies could help reduce the problem.

3.2.3 Relevance to our societal challenge

This article is relevant to our societal challenge of the Dutch housing market because it discusses housing in the Netherlands. It gives us an idea of what entities might be important to model and what information they would hold, and it focuses on the political aspect, which provides a unique perspective on the problem.

3.3 Scientific Article 3

Citation: Manting, D., Kleinepier, T., & Lennartz, C. (2024). Housing trajectories of EU migrants: between quick emigration and shared housing as temporary and long-term solutions. *Housing Studies*, 39(4), 1027–1048. <https://doi.org/10.1080/02673037.2022.2101629>

3.4 Article type

This article is a peer-reviewed quantitative empirical study that uses CBS data, tracking migrants from EU countries for seven years, setting up conclusions about the life of an expat in the Netherlands.

3.5 What did the researchers investigate?

The researchers looked at the addresses and housings the people have lived in, what were the conditions and where did they come from. Adding this to the financial situation, they managed to find patterns regarding leaving the country and the types of housing the expats will access. As this study only includes data and no input from the tracked people, these people's choices can't be motivated or presented, making the paper question whether the housing crisis was the only real factor.

3.6 Relevance to our societal challenge

This paper brings up patterns and how a person's income level affects their housing, outlining that higher earners secure a private home, while lower earners are stuck in shared or unstable housing. It highlights that almost all migrants lived with others, either for a short or much larger period of time. What stands out the most in this paper is the "rent-to-emigration" pattern, strongly linking low income level and unstable housing to leaving the Netherlands altogether. This suggests that housing is a factor that can determine whether an expat can remain in the country or not